2) Prepared By Client List.

The PBC list is the auditor's list of documents it requires before the engagement. As noted below, this list can be long, so make sure you set aside adequate time to put together the documents for the auditors.

When you think about what you need to do to be "audit ready" you can start with this list below. The trainer recommends reconciling and preparing support documentation for each account on the Statement of Net Position each month. If the Tribe/TDHE completes this activity every month their books are going to be in order as the PBC list requires support documents for many of the balance sheet accounts.

The items listed below are included in a typical PBC list for a client with a December 31, year-end:

1. **Planning:**
   a) A comparative trial balance, with balances at 12/31//2017 and 12/31/2018. – **Excel**
   b) A PDF list of the 2018 Board members.
   c) Electronic copies of the Board minutes for the year under audit through the scheduled date of the fieldwork.
   d) Copies of budgets for the year.
   e) Detailed memo regarding any outstanding legal issues we should be aware of including the name and address of any attorneys which provided legal services during the year.
   f) Short memo regarding any change in operations from the prior year, e.g., any additional grants received, or grants which are no longer available to the organization, any increase or decrease in operations of the organization.
2. **Cash:**
   a) PDF copies of December 31, 2018 bank statements and reconciliations.
   b) PDF copies of January 31, 2018 bank statements.
   c) PDF copies of collateralization agreements and December 31 collateral statement, if applicable.
3. **Investments** - (If The Tribe/TDHE Is Approved To Invest IHBG Funds):
   a) Schedule detailing all investment activity (sales, purchases, income, etc.) for the year ended December 31, 2018 – Excel
   b) PDF copies of the annual investment statements.

4. **Accounts Receivable:**
    a) A/R aging schedule of accounts receivable as of December 31, 2018, reconciled to trial balance.
    b) An analysis of the allowance for doubtful accounts.
    c) List of deposits for three months following the end of the year. (Jan – Mar, 2019)
5. **Prepaid Items:**
    a) Schedule of prepaid balances with supporting documentation, such as copies of checks and invoices. (Insurance policies, etc.)
6. **Capital Assets:**
    a) Capital assets and depreciation summary – including a listing of all additions and/or disposals of fixed assets and the supporting documentation, which includes check copy, invoice and bill of sale.
7. **Accounts Payable:**
    a) A listing of all accounts payable as of December 31, 2018 (an aged A/P will suffice); including date paid and check number. The auditor will need to review all open invoices.
    b) Schedule of checks written from 12/31/2018 to the date of the audit fieldwork.
8. **Accrued Payroll Liabilities:**
    a) The schedule of accrued payroll as of December 31, 2018.
    b) Copies of all the IRS forms 941s and State Unemployment Reports.
    c) Copies of any correspondence from the IRS and notices of penalties.
    d) Schedules reconciling gross pay on the 941s to gross pay recorded on the trial balance.
    e) Annual Leave – Schedule of accrued leave by employee including names, pay rates and ending accrued leave hours at December 31, 2018.
9. **Grant Testing:**
    a) Copies of all grant awards, contracts, quarterly reports, drawdowns or any other report for each grant.
    b) Grant lead showing grant name, grant amount, grant period, CFDA number, beginning grant receivable or deferred revenue balance, cash received during the year, grant expenditures and grants receivable or deferred revenue – reconciled to the balance sheet.
    c) General ledger detail for each grant with expenses or grant receipts.
10. **Long-Term Debt:**
    a) Schedule of any outstanding debt or notes payable as of December 31, 2018.
    b) Copies of the debt agreements and amortization schedules.

11. **Net Assets:**
    a) A schedule reconciling FY2017's net position balance on the audited financials to FY2018's equity accounts in the trial balance.
12. **Additional Items:**
    a) Copies of any legal agreements, contracts, leases, or other official documents.
    b) A copy of any new policies and procedures.
    c) A copy of any on-site reviews from any granting agency.
    d) Prepared by Tribe/TDHE (but managed by auditor): Completed grant confirmations (on all open grants during the year), Human Rights and Department of Labor confirmations, attorney confirmation. These should be printed on the Tribe/TDHE's letterhead, signed and mailed to the auditor or made ready to be picked up by the auditor during fieldwork.

SCHEDULE OF EXPENDITURES

The preparation of the Schedule of Expenditures of Federal Awards (SEFA) [and State awards, if any] is also the responsibility of the auditee. The SEFA is an important document because it is the source document for the compliance portion of a single audit. The SEFA reports all Federal grants with expenditures in your audit period. Individual Federal programs are grouped by federal agencies to allow the user to identify grants by Federal funding source, and provides the auditor information required to determine major programs.

1) Know all your Federal awards.

You should be able to identify **ALL** federal awards (examples: IHBG, Indian Community Development Block Grant, and Tribal Transportation) received and expended during the fiscal year, and they should all be included on the SEFA schedule.

The required elements of the SEFA include:

a. The Catalog of Federal Domestic Assistance (CFDA) title and number;
b. The award number and year;
c. The name of the federal agency; and
d. The name of the pass-through entity and the identifying award number assigned by the pass-through entity, if applicable.

2) Prepare the Schedule of Expenditure of Federal Awards.[200.510(b)]

a) List individual Federal programs by Federal agency. For example, The US Department of Housing and Urban Development includes the Indian Housing Block Grant (IHBG), and the Indian Community Development Block Grant (ICDBG).
b) For Federal awards received as a subrecipient, the name of the pass-through entity and